



Q1 FY27 Earnings Conference Call

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and

MANAGEMENT TEAM MEMBERS

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Page 1 of 16

Moderator:

Ladies and gentlemen, good evening, and welcome to IndusInd Bank Limited Q1 FY27 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone.

I now hand the conference over to Mr. Rajiv Anand, Managing Director and CEO of IndusInd Bank. Thank you, and over to you, Mr. Anand.

Rajiv Anand:

Thank you. Good evening to everyone and thank you for joining us. I'm joined here by our two ED designates, Jagdeep Mallareddy and Ganesh Sankaran and also our CFO, Viral Damania.

I will begin with the broader operating environment and then share how the bank is progressing on its strategic priorities.

Despite an uncertain global backdrop, India's economic momentum has remained resilient, supported by strong macro fundamentals and a stable financial system. For the banking sector, this continues to provide a constructive backdrop, even as funding discipline, risk selection and execution quality remain important differentiators.

Against this backdrop, Q1 marked a clear inflection point for the Bank. Having substantially completed the balance sheet and earnings recalibration undertaken over the past year, we have now entered the next phase of our journey - focused on accelerating sustainable, risk-adjusted growth from a significantly stronger operating foundation. The progress made across deposits, asset quality, profitability and capital position give us confidence that the Bank is well positioned to deliver stronger growth, improving profitability and better returns in the coming quarters. We will now move to the key highlights for Q1FY27 and then cover business-specific progress and financial performance.

1. Balance Sheet Pivoting Towards Growth:

- Our end of period deposits and advances grew 3.7% and 3.3% QoQ respectively reversing the moderation witnessed through much of the last financial year.
- Deposit franchise continued to strengthen with average retail deposit growing 4% QoQ and share of retail deposits, as per LCR further improving to 49.5% vs 47.9% QoQ.
- On the asset side, we resumed growth in the wholesale book under our revised risk-return framework, while the SME and retail portfolio was broadly stable. Within retail, we saw steady disbursements across segments, however Q1 seasonality kept the outstanding portfolio flat QoQ.

2. Improving Asset Quality Trajectory:

- Importantly, growth momentum was achieved without compromising portfolio quality and provides an early indication of the underlying traction now emerging across the franchise.
- Annualised net slippages improved further to 1.50% vs 2.43% YoY and 1.71% QoQ, with microfinance asset quality improving materially and moving steadily towards normalized operating levels.

- We undertook write-offs of Rs.1,435 crore during the quarter. As a result, both Gross NPA and Net NPA improved to 3.25% and 0.95%, respectively with stable PCR QoQ.
 - The improvement is now visible across portfolios and early stress indicators, reinforcing our confidence that the corrective actions and underwriting changes implemented over the last several quarters are translating into structurally stronger credit outcomes.
3. Building an AI-Powered Bank:
- We believe AI will be a key competitive differentiator for the Bank. Our focus is on embedding AI deeply into customer engagement, credit decisioning, risk management and employee productivity, enabling superior customer outcomes, faster decision making and improved operating efficiency at scale.
 - We continue to scale AI adoption across the Bank, with over 12,000 employees already received training on AI. Our AI-powered knowledge management platform, Indus Compass, serves 15,000+ monthly active users and delivers 55,000+ responses every month, while our enterprise AI chat platform has 12,200 monthly active users generating around 875,000 interactions each month.
 - AI and machine learning are increasingly embedded across our customer, credit and risk management journeys. Multiple ML models enable personalized customer engagement, while our suite of 50+ ML models evaluates nearly half a million loan applications every month, helping underwriters make faster and more consistent credit decisions.
 - AI is also a key enabler of our risk management framework. Our machine learning models monitor transactions for around 40 million customers on an hourly basis, strengthening fraud detection, financial crime prevention, and overall operational resilience.
4. Financial Outcome for Q1:
- Pre-provision operating profit stood at Rs.2,773 crore growing 8% YoY and 21% QoQ. Even adjusted for a one-off income tax interest recovery, the PPOP growth was robust at 8% QoQ, supported by balance sheet growth and ongoing optimization of operating expenses.
 - Provisions declined further to Rs.1,384 crore with continued improvement in the asset quality outcomes.
 - As a result, profit after tax improved sharply to Rs.1,037 crore from Rs.594 crore in the previous quarter, reflecting the meaningful improvement achieved across growth, asset quality and operating performance.
 - Excluding the one-off gains, RoA improved to 0.63% and we remain firmly focused on progressing towards our immediate target of RoA of 1%, supported by improving business momentum, lower credit costs and continued operating leverage.
 - Our capital adequacy is healthy, with a CET1 ratio of 16.10% and CRAR of 17.15%, providing ample capacity to support future growth.

I will now take you through highlights on individual businesses.

1. Vehicle Finance:

- Our vehicle finance book now stands at Rs.99,718 crore growing 3% YoY while remaining stable QoQ.
- Overall vehicle disbursements for the quarter were at Rs.10,832 crore. Our disbursements excluding two-wheelers also grew 3% YoY in line with loan book. As mentioned in earlier calls, we continue to calibrate our two wheeler distribution and underwriting. This along with the impact of GST change in Q2 last year contributed to overall disbursements falling 4% YoY.
- The annualized net slippages for the quarter were down at 2.01% vs 2.29% YoY, supported by tighter underwriting in two-wheelers / tractors and maintaining diligence on rest of the segments.
- The slippages were higher QoQ due to seasonality. Our overdue book remains rangebound and we would expect asset quality trends to improve in H2 as seen in earlier years.
- We continued to advance our digital transformation agenda through deeper Salesforce adoption across key product segments. We also rolled out process and compliance automation initiatives, expanded digital sourcing capabilities and progressed our straight-through processing agenda.
- Looking ahead, our focus will be on strengthening market leadership through digital and AI-led customer journeys, expanding our presence in underpenetrated geographies, and deepening customer engagement through cross-sell of liabilities and retail banking products. We continue to see opportunities to gain share across key vehicle segments while improving productivity and turnaround times.

2. Rural Banking:

- Let me now turn to our Rural Banking portfolio, where we have seen encouraging progress during the quarter, particularly in the micro loans.
- Asset quality trends in the micro loan portfolio further improved meaningfully, with key indicators such as fresh slippages, collection efficiency and overdue levels moving closer to normalized levels.
- Gross slippages moderated to Rs.191 crore vs Rs. 884 crore YoY and Rs.504 crore QoQ, while the 31–90 DPD book declined to 0.6% vs 2.2% YoY and 0.9% QoQ.
- Disbursements at Rs.5,200 crore, was broadly in line with the previous quarter despite the seasonally weaker Q1. The overall micro loans book at Rs.16,305 crore declined 3% QoQ.
- Around 74% of the portfolio is now covered under the CGFMU credit guarantee, including the Q1 disbursements which are currently under process of being covered.
- Beyond microfinance, we continue to make good progress in diversifying our rural franchise. Our merchant finance portfolio grew 11% YoY to Rs. 8,095 crore, serving over 575,000 borrowers, while the affordable housing portfolio grew 21% YoY to Rs.2,889 crore.
- Kisan Credit Card and other rural lending products stood at Rs.4,128 crore.
- With microfinance stress now moderating meaningfully and portfolio quality improving steadily, we believe the business has reached an important turning point, creating the opportunity to gradually pivot from repair towards growth while maintaining underwriting discipline and diversification initiatives.

3. Consumer Banking Assets:

- We continue to reshape our Consumer Banking franchise with a greater emphasis on secured lending, while maintaining a disciplined approach towards unsecured products and portfolio quality.
- We have strengthened our leadership team with experienced talent that has successfully built large-scale retail asset franchises. We have also invested in enhancing our distribution, analytics and technology infrastructure across customer journeys to support sustainable scale.
- Overall consumer banking assets at Rs.31,617 crore grew 2% QoQ. The actions taken over recent quarters are beginning to gain traction, reflected in consumer asset disbursements growing 16% QoQ. We expect the resulting momentum to increasingly translate into stronger portfolio growth over the coming quarters.
- Secured lending has been the primary growth driver during the quarter. Our home loan portfolio grew 38% YoY and 6% QoQ to Rs.6,889 crore, while the Gold Loan franchise continued to scale up with the book crossing Rs.1,200 crore.
- In unsecured lending, we have maintained a selective approach, prioritizing portfolio quality while investing in customer retention, analytics-led sourcing and cross-sell opportunities.
- Personal Loan book at Rs.9,930 crore de-grew 4% QoQ and Credit Cards Loan book at Rs.9,418 crore de-grew 3% QoQ.
- Asset quality improved with annualized net slippages of 4.19% vs 5.76% YoY and 4.22% QoQ.
- Over the medium term, our strategy remains focused on scaling secured lending businesses such as mortgages, gold loans and other asset-backed products, while continuing to grow unsecured portfolios through analytics-driven customer acquisition, deeper customer engagement and cross-sell. We believe this approach will drive sustainable, granular and risk-adjusted growth across the franchise.

4. SME Banking:

- SME Banking represents one of the most significant medium-term growth opportunities for the Bank and will be a key contributor to our growth strategy going forward.
- During the quarter, our focus was on strengthening the franchise, operating model and execution capabilities under the new leadership team to create a stronger foundation for future growth.
- We launched several initiatives to deepen our presence among SMEs and emerging businesses, with a greater focus on transaction banking, trade finance, supply chain solutions and ecosystem-led client acquisition.
- The underlying business momentum in SME remains encouraging, net of migrations to wholesale banking book. Our LAP business grew 8% QoQ and Business Loans grew 4% QoQ. The actions taken during the quarter position us well to accelerate growth, deepen client relationships and improve cross-sell opportunities in the periods ahead.
- Our focus remains on becoming the preferred banking partner for entrepreneurs and emerging businesses through ecosystem-led acquisition, transaction banking, supply chain finance and sector-focused solutions.

5. Wholesale Banking:

- We successfully re-accelerated growth in our Wholesale Banking franchise during the quarter following the completion of portfolio optimisation and operating model enhancements undertaken over the last year.

- Our average Wholesale Banking loan book grew 7% QoQ, marking an inflection point following the portfolio optimization and recalibration undertaken over the past year.
- Growth was broad based, with all three sub-categories viz. Mid-Market, Large Corporate and Institutional Banking groups showing healthy QoQ traction.
- The proportion of A and above rated customers of wholesale banking portfolio was steady at 82%.
- With business momentum picking up, our corporate and SME fee grew by 28% QoQ. Our focus continues on building sustainable fee income streams, with transaction banking fee contributing 55% of the overall wholesale & SME fee income.
- Asset quality in the Wholesale portfolio was robust, with annualized gross and net slippages improving to 0.17% and 0.09%, respectively.
- Overall, our focus remains on building high-quality relationships across corporate, institutional and government segments, while selectively participating in sectors aligned to India's structural growth opportunities. We believe a combination of disciplined lending, deeper transaction banking engagement and higher fee penetration will drive sustainable growth and profitability for the franchise.

6. Now coming to Liabilities:

- Building a granular, stable and cost-efficient deposit franchise remains one of the Bank's highest strategic priorities and we made further meaningful progress during the quarter.
- Average retail deposits, as defined by LCR now stands at Rs.1,90,166 crore, growing 4% QoQ. The share of retail deposits now stands at highest ever level of 49.5% vs 46.2% YoY and 47.9% QoQ.
- The share of Certificate of Deposits in total deposits and borrowings in total liabilities was steady at 5.9% and 7.9% respectively.
- Liquidity position improved during the quarter with an average LCR of 127% vs 118% QoQ.
- Cost of deposits improved by 12 bps QoQ to 5.95%, reflecting the benefits of improving deposit mix and optimization initiatives undertaken over past few quarters. The improvement was driven by both SA and TD repricing downwards.
- We have a strong NRI deposit franchise with a market share of 3.6%, much ahead of our natural market share in overall deposits. This positions us well to participate in the ongoing FCNR(B) mobilisation efforts.
- Our Affluent Banking along with NRI franchise now contributes Rs 85,000 crores of deposits for the Bank which grew 2% QoQ.
- Our efforts on streamlining and strengthening the product offerings continued this quarter as well especially on senior citizen proposition, mobile app enhancements etc. These along with other customer engagement initiatives has resulted in robust new to bank acquisition runrates for the quarter.
- Overall, our strategy remains focused on deepening primary banking relationships across retail, affluent, NRI, SME and entrepreneur segments. We continue to leverage our distribution network and digital capabilities to drive granular deposit growth, improve funding quality and further strengthen the liability franchise.
- The continued increase in retail deposit share reflects the strength of our franchise and provides a significantly stronger foundation to support future balance sheet growth.

I will now hand over to Viral to take you through the financial performance.

Viral Damania:

Thanks, Rajiv, and a very good evening to everyone. So let me start with the balance sheet, and then I will share more highlights on the profit and loss.

- Average Advances grew 2% sequentially from Q4 driven mainly by wholesale banking and secured retail segments.
- Average Deposits inched up by 1% supported by healthy retail deposit growth.
- Average CD ratio was at 83.0% vs 82.0% QoQ.
- The share of average borrowings in total liabilities was steady around 8%.

Moving on to the P&L

- Reported Net Interest Income for Q1 stood at Rs.4,685 crore.
- Adjusted for one-off interest recovery of Rs.284 crore on IT refund, normalized Net Interest Margin was at 3.35% vs 3.39% QoQ.
- The decrease of 4bps was largely due to changes in portfolio mix towards wholesale banking and secured retail assets, partly offset by the improvement in cost of deposit.
- Non-Interest Income at Rs. 1,787 crore grew 4% QoQ supported by improved business momentum.
- Operating expenses declined 2% QoQ to Rs. 3,698 crore, reflecting the benefits of our ongoing cost optimization initiatives and lower regulatory costs.
- As a result, the normalized operating profit at Rs.2,489 crore grew 8% QoQ. Consequently, normalized PPOP to average loans improved to 3.13% vs 2.93% QoQ.
- The provisions and contingencies for the quarter at Rs.1,384 crore were down 21% YoY and 7% QoQ driven by reduction in net slippages. We have written-off loans amounting to Rs.1,435 crore during the quarter, in line with our policy.
- In terms of asset quality:
 - GNPA and NNPA improved QoQ at 3.25% and 0.95% respectively and PCR maintained around 71%.
 - Overall net slippages have improved sequentially driven by decline in micro loan slippages. Segment wise NPA movement details are given in slide 24 of our investor presentation.
 - Our SMA 1 and SMA2 book at 11bps vs 17bps QoQ.
 - Net Security Receipts declined to 7bps vs. 8bps QoQ.
 - Restructured advances declined to 5bps vs. 6bps QoQ.
- The profit after tax for the quarter was at Rs.1,037 crore vs Rs.594 crore QoQ. Normalized RoA improved to 0.63% vs 0.45% QoQ.
- The Bank continues to have healthy capital adequacy and liquidity position with CET1 of 16.10% and CRAR of 17.15% and LCR at 127%.

I will now hand over to Rajiv for his closing comments.

Rajiv Anand:

Thank you, Viral. Overall, Q1 marks an important milestone in our journey. We delivered a return to balance sheet growth, further strengthened our liabilities franchise, continued to improve asset quality and achieved a meaningful recovery in profitability.

More importantly, the strategic actions undertaken over the past year have materially strengthened the quality of our balance sheet, earnings profile and operating platform. As a result, we are entering FY27 from a position of greater resilience, with stronger fundamentals and improving business momentum.

Looking ahead, our priorities remain clear - accelerating profitable growth across Retail, SME, Rural and Wholesale Banking, deepening our deposit franchise, scaling transaction banking capabilities, and leveraging our digital and AI investments to enhance customer experience, productivity and risk management.

With strong capital, ample liquidity, improving asset quality and a strengthened operating platform, we are well positioned to deliver sustainable growth, steadily improve profitability and returns, and create long-term value for all stakeholders.

With this, we can now open for Q&A. Thanks and over to you.

Moderator: Thank you very much. We will now begin the question and answer session. First question is from the line of Kunal Shah from Citigroup.

Kunal Shah: So firstly, on this entire corporate growth. So last two, three quarters, we have been recalibrating the balance sheet. And this quarter, the overall wholesale growth is almost 11%-odd quarter-on-quarter with large corporates at 16%. So how different is this profile maybe compared to what we have already run down?
And in terms of going forward, how should we look at the mix between the retail SME and corporate? Is it like one-off quarter of the corporate growth or we will keep on maybe capitalizing on the opportunity which comes in and corporate might continue to grow at a faster pace?

Rajiv Anand: The growth that we are seeing on the corporate side is a function of the strength that we have built in that business over the last 6 to 9 months. Yes, there are ample opportunities that are available in the marketplace at this point, across mid-corporate, large corporate and strategic corporate. But we will pick and choose those transactions that make sense for us from a risk and return perspective. What is also very important to us is the reciprocity and we will do transactions where the probability of getting reciprocal transactions, meaning transaction banking, current account floats, payment of GST, salary accounts, etcetera, is higher than the others. And so therefore, we think of these not as individual transactions, but rather as relationship building. And like many other banks, we use a RAROC format to be able to assess the profitability on the wholesale side. Given where we are, I think there is ample opportunity for us to grow on the wholesale side.

But having said that, the other engines of growth on the SME, the more traditional retail asset businesses and our core strength, which have been vehicle and microfinance are also showing a strong trajectory to be able to grow. And so therefore, we will obviously want to optimize growth such that we meet our ROA aspirations.

Kunal Shah: Yes. And sir, in terms of the profile difference between what was run down and what we are building?

Rajiv Anand: If you look at the disclosure that we have made, 82% of the portfolio is A minus and above. And so therefore, even within that framework, we have found ample opportunities for us to be able to grow profitably while containing or managing risk.

Kunal Shah: Okay. And the second question is on cost of fund side and cost of deposit side. So we have already seen it being down. Cost of SA is also now 4.72%. So how much is the further scope of improvement left on the cost side or we have almost bottomed out on the cost of deposits now?

Rajiv Anand: Kunal, there is still a lot of work that we need to do on the deposit side, both on quantity and quality. I think what we are seeing is really the beginning of that journey. I'm not saying that this will happen every quarter, but the work on improving both quality and quantity has begun. If you look at the cost of deposits gap between us and our closest peer, it's about 150 basis or so. Our aim is to continue to close that gap in the medium term.

- Viral Damania:** Also, Kunal, just to add, some of that reduction that you're seeing is not about this repricing, right, also a change in the mix. We are doing more Retail & SBC deposits. So that's helping us lower the cost. It's not only a pricing thing.
- Kunal Shah:** So still scope to further get it down?
- Rajiv Anand:** Yes.
- Kunal Shah:** Okay. Thanks. That answers the questions. Thanks, and all the best.
- Moderator:** Thank you. Next question is from the line of Rikin Shah from IIFL Capital.
- Rikin Shah:** Hi, thanks for the opportunity. I had four questions. The first one, just going back to the loan growth, all of this growth in the quarter's wholesale. The only thing that trying to get some comfort is accelerating retail and SME is always harder vis-a-vis the wholesale and the vehicle, MFI, SME all are not growing. So, what are the portfolio actions that you are doing in the segment, which is pulling back on the growth? And when do we see that turning or accelerating here on? So that's number one?
- Rajiv Anand:** Can you do this one by one? I mean I may not remember all of them.
- Rikin Shah:** Sure.
- Rajiv Anand:** For both microfinance and vehicle finance, Q1 typically is seasonally weak. And even in that situation, if you look at disbursements on the microfinance side, have broadly been flat on a QoQ basis. And so therefore, you should see meaningful acceleration on the microfinance business really from Q2 onwards. And similarly, you've seen that disbursement on the vehicle finance business, ex of 2-wheelers has grown on YoY basis. In vehicle finance, as we've lost some market share over the last few years, our medium-term ambition there is to get that back. If you look at the more traditional retail asset businesses, those were actually degrowing over the last 12 to 18 months. If you see the disclosure, disbursements there are actually up 16% QoQ. And that's really the beginning and the overall portfolio itself is quite small. And so therefore, in some of these other businesses, it's either been that these are seasonally weak and so, therefore, showing up as you rightly described or the building blocks are now getting in place, the disbursements are beginning to accelerate. So, you should see over the next 3 quarters, many of these beginning to kick in.
- Rikin Shah:** Got it. Okay. Sir, second question is on other expenses. It's down sharply 8% Q-o-Q. So what are the components driving that?
- Viral Damania:** Sure. Let me answer that. It's a combination of a couple of factors. First, statutory costs, those have come down and by that, I mean DICGC premium, PSLC, CSR, all of those costs. Second, we've been very focused, and we've talked about that earlier on driving operating efficiency. And therefore, across the lines on operating expenses, we've seen that coming down across lines. So that journey will continue. Operating leverage is a big focus area, and that's really what we think will help us drive some of that ROA journey. So those are key drivers. In addition to that, also some of the retail disbursements, Rajiv talked about some of these businesses growing faster Q2, Q3 or Q4 onwards. So, some of that disbursement linked costs will also start growing later. We didn't see that much in this quarter. So, some of that is also explained by lower transaction-related costs. But overall, the journey, is to keep optimizing on fixed kind of operating expenses, re-deploy that a bit more towards cost on people costs and investing in IT. Some of that cost will continue being invested in. But overall, the journey on operating efficiency will continue.

- Rikin Shah:** Got it, Viral. So that's actually the third one as well. If you could just provide a bridge on how do we reach that 1% target RoA by 4Q from your core ROA of 0.63% based on the current quarter?
- Viral Damania:** Some of that answer lies also in what you've seen in Q1. The delta has really come from lower credit costs and lower expenses. And therefore, PPOP to credit cost has been 60-40 really in that first quarter journey. And I think that will pretty much continue for the rest of the year as well. That's really how I'm seeing it right now. PPOP 60% and 40% from lower credit costs coming into that 1% journey. Now the building blocks within that PPOP, that may change by quarter, implying you've seen the NIM lower in this quarter. But as the other businesses start growing, we'll see some of that come back on NIM, but then some of the expenses start growing, as I said. So, there will be some movement in terms of lines. But I think easy way to think of it is 60-40, 60 from PPOP, 40 from credit cost. But again, we will firm up as we go through the quarter.
- Rikin Shah:** Got it. Okay. And then just the last question, the resolution of equity capital raise of INR10,000 crores, how should we think about it? Is it just an enabling resolution or you will actually go after some confidence capital?
- Rajiv Anand:** Like I mentioned in my commentary, both CET1 and overall capital position continues to be strong. So therefore, this is just an enabling resolution. I mean, we will decide at some point in time whether we require capital or not. But at this moment, it's only an enabling resolution.
- Moderator:** Next question is from the line of Piran Engineer from CLSA India.
- Piran Engineer:** Congratulations on the quarter. Just firstly, on the asset quality front in the consumer banking vertical, would you call this a normal quarter? Or are we still feeling from some backlog of stress in personal loans and credit cards?
- Rajiv Anand:** Can I get Jagdeep to answer that for you?
- Jagdeep Mallareddy:** We've guided for the fact that we will slow down on our personal loans and credit cards, where we are correcting the portfolio quality and making a bunch of risk actions. We are now seeing the tail end of that risk that is flowing in. We will slowly start getting our growth back and we'll start getting the risk costs much more in control. So, you can treat this as mainly what is emanating from the tail of personal loans and credit cards as a risk.
- Piran Engineer:** Okay. So, in simple words, our slippages in this business can go down meaningfully in the consumer banking?
- Jagdeep Mallareddy:** Yes.
- Piran Engineer:** Got it. And just secondly, on the deposit front, and congrats on a good quarter here. How should we think about how the retail deposit share trends over time as you kick-start deposit growth? Because right now, like our deposit growth is like up 1% Q-o-Q, which is obviously not steady state. It would probably be 3%, 4% Q-o-Q. In that case, how confident are you that we can maintain this 50% LCR share? Or would we have to rely more on wholesale versus retail?
- Rajiv Anand:** So obviously, our ambition is to first start growing in line with market and then growing faster than market. There could be some lead lags in terms of usage of different sources of money. As we are seeing asset growth across the system continues to be strong, so we may use some of the wholesale money. And I want to break up the wholesale money into two parts, which is franchise where we get some

deposits in the normal course of business because we are bankers to SME, mid-corporate, large corporates, etcetera. And then there is a larger bid-out business. So therefore, the normal franchise money, I'm very happy to take today, tomorrow, next week, whatever. However, we will use the bid-out part of deposits tactically based on how asset growth is happening. But the core of the liability franchise has to be driven by higher and higher retail and SBC deposits.

Piran Engineer: Got it. And today, after this FCNR announcement, let's say, as of today or yesterday, what would be the difference between wholesale and retail TD cost for you incrementally, of course?

Rajiv Anand: So, if I do bid out it is about 50 basis points.

Piran Engineer: That's it. In that case, why not just bid out more to get more business -- I mean, because your asset yield is still at a higher rate than what most of your peers do. So even if you have to pay 50 bps more, it still makes more sense to get that deposit and grow faster?

Rajiv Anand: There are multiple issues. You also have to take into consideration the outflow rates. Retail is at 5% or 12%. The institutional part will be anything between 25% or 40%. I'm assuming that we won't take the 100% outflow money from financial institutions. So therefore, one has to then weigh out what is the incremental cost of deposits against the kind of yield that you're getting on the portfolio. We are actually moving away from the more traditional IndusInd bank model of high cost of deposits and a riskier portfolio to a more balanced portfolio, which is more predictable from a profitability and ROA perspective. So therefore, if you want to reduce the volatility on ROA, then reducing the usage of bulk then becomes important.

Moderator: Next question is from the line of Abhishek Murarka from HSBC.

Abhishek Murarka: Congrats for the quarter. So, my first question is on the NIM outlook. Last quarter, you had made a comment that in your PPOP journey as part of the ROA bridge, more of that journey would be contributed by fee and opex. But the way I see it, there's a lot of scope to improve margins, right, especially given your strategy to improve retail deposit percentage, LDR can go up, loan mix itself can change towards retail and SME. So, what is the outlook there for the next two, three quarters?

Viral Damania: We can think of this in two parts. There's a short-term journey and there's a long-term journey. So if you think immediate few quarters as some of the high-yielding businesses start growing and you get back share or mix within the loan portfolio, that NIM does come back. But when you think of it on that 1% journey, it's a very different story. /We've already seen NIM drop a bit in the first quarter. We'll have some pressure in Q2, start going back Q3, Q4. So end-to-end in that 1% journey, that's a much smaller contributor. But when you think returns going beyond that, absolutely. I mean, we really have to look at NIM as an opportunity, no doubt about that.

Abhishek Murarka: And in that context, from the loan mix you have today, let's say, in 2-3 years out, do you have any target mix in mind?

Rajiv Anand: Yes. what we've been guiding that over the next over the next 3 years, you should see two things happen on the wholesale side, some drop on the overall mix. And even within that, a greater focus on SME and SME, mid-corporate, large corporate and less so on the strategic side. And the other businesses will certainly grow much faster than the wholesale side. I've also spoken, Abhishek, about the fact that we are now looking at our microfinance business more like a rural business rather than just a plain microfinance business. And we've been guiding that the straightforward microfinance business should be about 7%. We can do 3% to 4% of our Bharat Superstores and

another 3%-4% of all other products like micro-LAP and such like in the rural space, including affordable housing. And so therefore, the rural business, given the quality of the franchise that already exists for us, will then become a meaningful portion. And we are already beginning to see the more traditional retail asset business beginning to kick in. I think given the size that we are, we can see fairly strong growth in that as we go forward. And finally, the vehicle finance business, is a more steady and mature business. And broadly speaking, I think some of those segments will grow faster than market. Some of those segments will grow broadly in line with market.

Abhishek Murarka: And Rajiv, I think you also made this comment at the beginning that there is a lot of scope in SME and will be a key contributor. So at least the SME growth would it start growing faster than the industry anytime soon? Or how are you thinking about it? Because it's just 13% of your mix and that also has scope to increase, I don't know, maybe to 20% or something?

Rajiv Anand: We're just putting some of the building blocks, the foundations, the technology, people in place. The intent is really to grow that significantly faster than where we are and what we are doing today.

Abhishek Murarka: Got it. Can I squeeze in just one more question, if that's okay?

Rajiv Anand: Sure. Yes.

Abhishek Murarka: So, in terms of the ECL transition, what would be the onetime impact? And maybe what would be the ongoing impact post transition? Would you be able to give some guidance around that?

Viral Damania: We've shared that earlier, we maintained that we are looking at the onetime transition impact to be between the 1% to 1.5% of loan book. We continue to maintain that. But as we go along, we will true it up. It's still early days, and the portfolio is also changing. So how it is by March is something we'll have to watch.

Flow, we don't see that much of an impact. It's quite marginal because that's only on the incremental disbursement that we do later, and I'm not seeing a very large impact from that. Now of course, the EIR impact, that's something which we'll have to watch because both fees and expenses will get dipped. Now that estimation we still need to firm up. But yes, broadly, this is how I'm seeing it.

Abhishek Murarka: And this 1% to 1.5%, is this a gross and you have any offsets against it or this is just your net final or approximately final impact?

Viral Damania: This is the number on the loan book that I'm giving you. Now if your question is more from a capital adequacy perspective, we will have some offsets because, as you know, the Basel guidelines have changed or will change effective 1st April 2027. So that gives us something back on capital. So, the capital impact, we'll get some offsets. We do see some opportunity.

Abhishek Murarka: The ratio will not get impacted to that extent, but absolute net worth could be impacted to that extent, right? So would that necessitate any type of capital raise? Or do you think you'll be fine even after that?

Viral Damania: We will watch it. Certainly, need for capital is something we continually assess, and we've been open about it that as we think there is necessity to raise, we will certainly do that. But yes, we will continue watching. At 16.1% CET1, currently, that's not urgent in that sense. But yes, we'll continue to watch.

Moderator: Next question is from the line of Jai Mundhra from ICICI Securities.

- Jai Mundhra:** Sir, a question on slippages, right? if I calculate slippages as a percentage of respective segments, MFI is now around 5%, vehicle is around 3%. Both looks reasonably stable numbers. You mentioned in some other participants that consumer business may see lower slippages. But would you think that MFI slippages are around 5% and vehicle at around 3% is more or less broadly stable sort of a number or some businesses can also show improving -- material improving trajectory?
- Viral Damania:** We do see further journey on micro loans, the annualized net slippage of 3.41%. We think there is further opportunity the way we are seeing it. The early trends on SMA are telling us that, it should come down further. But that scale of change that you've seen over the past quarters, obviously will not be the same, but certainly opportunity there. Consumer, we talked about earlier. Vehicles, Q1 generally is tough. That's cyclical. But that tends to come down across the quarter. So that's more like a cyclical movement, but certainly more opportunity on micro. Not too big scale, but certainly more coming there.
- Jai Mundhra:** Sure. And secondly, on your retail fees, or other income, whichever way you look at it, I mean, we used to have a very reasonable good base, then there was change in accounting and everything. I'm not looking from one quarter perspective, but how to look at fees growth? Is there any area where we are lagging a little bit? Or how should one look at the retail fee?
- Rajiv Anand:** I think there is ample scope. There is work that is being done, which is basically looking at the kind of fees that we are charging customers, looking at it relative to our peers, et cetera. There are opportunities there. We are going down to the level of how many lockers are empty and what can we do to ensure that the locker vacancy rate comes down. So therefore, similarly, there's ample opportunity from a distribution perspective, both insurance and mutual funds. And finally, two of the machines there have been stuck for the last 18 months or so. One is the credit card business. And as that starts to grow, credit card fees will begin to kick in. And finally, the retail asset business as disbursements, and we spoke about the fact that disbursements have started this quarter, that will start to bring in processing fees on the retail asset piece as well. So, lots of opportunities for us to grow fees there.
- Moderator:** Thank you. Next question is from the line of Krishnan ASV from HDFC Securities.
- Krishnan ASV:** I have some query around your liabilities. The SA balances have been going down quite sharply over the last five, six quarters. And yet you said that when you do wholesale, that's one of the key things you're watching out for. So could you just throw some light on what is the strategy on SA balances?
- Rajiv Anand:** What has happened is, some of the more lumpy SA balances that we have had and relatively higher cost dollar balances that we have had out of GIFT City, we have let them run-off. And the intent obviously is to replace it with more granular SA balances and that you should start to see in the coming quarters.
- Krishnan ASV:** Okay. Could you just throw some light around what kind of balances you are going after now, whether in SA or retail, just to shore up your RB, what kind of balances are you going after? What kind of successes have you seen?
- Rajiv Anand:** I think given the situation where industry is chasing every rupee of deposits, we have reasonable presence across the three savings pools, which is basically household savings, we have a strong presence on the government side, and obviously, the institutional businesses, which is both corporate and institutional, are beginning to grow. There's a greater focus on the RMs asking for more and more deposits, both from the corporate itself, but also things like salary accounts and stuff like that. We are also focusing our SME businesses, both on the retail side as well as on the

wholesale side around getting the promoters account, trust accounts and such like. So therefore, like I have been mentioning earlier as well, we are focused both on quality and quantity. It is not as if that maybe in the medium term, I would sacrifice quality for quantity. But our starting position in that sense on the liability side is relatively weaker as compared to the asset side. And so therefore, we are working on multiple engines here.

Krishnan ASV: Okay. Just one last question. Can you just explain what happened with your NIMs because your asset yields have gone down nearly 20 basis points sequentially. Your cost of funds has gone down only by about half that number. And yet your margins, your reported margins are up about 18 bps sequentially. So can you just throw some light around this math?

Viral Damania: So let me simplify it for you. I think if you look at all the pluses and minuses, lower cost of deposits, lower yield on the asset, et cetera, and narrow down, it's really just simply 2 factors playing in that 4 basis drop that you're seeing. One is the change in the loan mix wholesale share has increased from 34% to 36%. Vehicles went down a little bit in that sense from a share perspective. That obviously means the aggregate average yield has gone down a bit. So that's one way to think about it.

Krishnan ASV: 20 bps sequentially, right? So 11.15% has gone to about 10.95%?

Viral Damania: No. if I isolate only that mix impact, that's roughly 2 basis of that 4 basis that you've seen on NIM, which I said I'm simplifying it for you. And we also had an RIDF addition, that's roughly 1 basis. So that's the 3. So, and then all together. I think that's an easier way to think about it. Otherwise, lots of offsets. You're seeing a lower yield on advances, you're seeing lower cost of deposits. All of these just net out.

Moderator: Next question is from the line of Anand Dama from Nuvama Wealth Management.

Anand Dama: You talked about the growth. The industry growth is now far more higher and you earlier said that you would want to get to the industry growth. So this year, should we be building about 13% to 14% kind of a growth, which possibly could be lower than the system. But still, I think if you're able to protect on the margins, I think we should be happy about it. Is that the right way to look at it?

Rajiv Anand: I think our broad, if I may use the word guidance, has been that we will grow in line with market this year with an exit ROA of 1%, and we stand by that.

Anand Dama: Okay. But what could be that market that would grow at? I mean, any assumptions that you have in mind for the system?

Rajiv Anand: Whatever the market is, you assume what the market is.

Anand Dama: Okay. Second, there are some banks who have actually put a claim to CGMFU and they got money in the microfinance space. Have we also put in any claim and should we expect some recovery over there? And second, I think there was some seasonality in the vehicle finance portfolio this quarter. Is it all about seasonality? Or are you seeing some stress in the CV portfolio and that basically warrants some caution?

Rajiv Anand: On the first question, no, we have not made any claims. On the second question, this is largely seasonality other than what we had called out on the 2-wheeler side. and to some degree on the tractor side.

Viral Damania: Just a small clarification. The CGFMU cover, that's only playing out like last 12 to 15 months. So obviously, there's no question of a claim yet on that. But on the CGTMSE,

certainly, I mean, it's a much smaller quantum that we obviously keep claiming. We'll get some collections from time to time.

Anand Dama: I Rajiv, you are commenting on the asset quality.

Rajiv Anand: So no, there is no concern other than the 2 portfolios that we have been consistently calling out, which is on the 2-wheeler side and tractors. Otherwise, we don't see any concern.

Anand Dama: In the CV, you don't expect any increase in the asset quality or the NPAs going forward given that the fuel prices have gone up and so on?

Rajiv Anand: We have not seen it yet. The causality that you're talking about is difficult to assess. But having said that, if you look at early trends, there does not seem to be any indication that stress is building.

Anand Dama: Sure. And any FCNR target that we have in our mind? I think you already offered a lot of GIFT City. So what kind of flows that we should expect? Are we working on that? We have a strong presence in the Middle East market and the exporters. Is there any number that we have in our mind that we are targeting?

Rajiv Anand: We are looking at all 3 streams, which is basically retail FCNR(B) deposits, leverage through our own GIFT City and leverage being provided by partner banks. All 3 segments are something that we are targeting. Our market share on the NRI side is higher than our natural market share. on the NRI side, it is a little over 3.6%. We are fairly confident that we will raise at least as much as our natural market share is.

Moderator: Ladies and gentlemen, we'll take that as the last question. I'll now hand the conference over to Mr. Rajiv Anand for closing comments.

Rajiv Anand: Thank you to all of you for your interest in IndusInd Bank. I look forward to meeting all of you again next quarter. Thank you all.

Moderator: Thank you very much. On behalf of IndusInd Bank, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines. Thank you.

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